ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

🔷 What is a Project?

A **project** is a **planned set of activities** designed to achieve a specific goal within a **fixed time**, **fixed cost**, and with **specific resources**.

👉 In simple words:

Project = a planned work with clear goal, time limit, cost, and steps.

Examples:

- Starting a small industry
- Building a house
- Launching a new product
- Opening a bakery

RRSIMT CLASSES By:- ARMAN ALI

🔷 Characteristics of a Project

1. Specific Objective

Every project has a **clear goal** (e.g., build a factory, develop a product).

2. Fixed Time Period

A project must be completed within a **given time**.

Example: 6 months, 1 year, etc.

3. Limited Budget

Money available for the project is fixed.

Costs must stay within the budget.

4. Sequence of Activities

A project has many steps that must be done in a **proper order**, one after another.

5. Use of Resources

A project needs resources like:

- money
- manpower
- machines
- materials

6. Uniqueness

A project is **not routine work**.

It is done only once or for a special purpose.

7. Risk and Uncertainty

Each project involves some level of risk (market, financial, technical risks).

10. Teamwork

Projects are completed by a **team**, not by one person alone.

RRSIMT
By : ARMAN ALI

By:- ARMAN ALI

🔷 Project Identification

Project Identification means **finding a good business idea** that is suitable, profitable, and possible to start.

👉 **In simple words:**

Project Identification = choosing the right business idea.

It is the **first step** in starting any new industry or project.

🔷 Process of Project Identification(V.VIMP)

Here are the steps in simple language:

1. Generate Ideas

Think of different business ideas based on:

your skills

- local resources
- market needs
- new trends
- past experience

Example: bakery, mobile repair shop, food processing, small workshop, etc.

EduShine CLASSES By:- ARMAN ALI

2. Screening of Ideas

Check which ideas are:

- practical
- affordable
- profitable
- easy to start

Reject weak ideas and keep only good ones

3. Study Market Demand

Find out:

- What do customers want?
- Is there demand for the product?
- Who are competitors?

Only choose ideas that have good demand.

4. Check Technical Feasibility

Check if:

- technology is available
- raw materials are easily accessible
- machinery can be arranged

If not possible → reject the idea.

5. Check Financial Feasibility

Find out:

- How much money is needed?
- Can you get loans or funding?
- Is the project profitable?

Choose ideas that are affordable and give good returns.

6. Check Economic & Social Feasibility

Ask questions like:

- Will the project create jobs?
- Will it benefit the local area?
- Will it improve standard of living?

Projects with high social benefit are preferred.

7. Final Selection of Project

After all checks:

- select the best idea
- that is feasible
- profitable
- and useful

This becomes your **final project choice**.

EduShine CLASSES
By:- ARMAN ALI

🔷 Project Lifecycle(V.V.V.IMP)

A **Project Lifecycle** is the **step-by-step process** through which a project passes from **beginning to end**.

👉 **In simple words:**

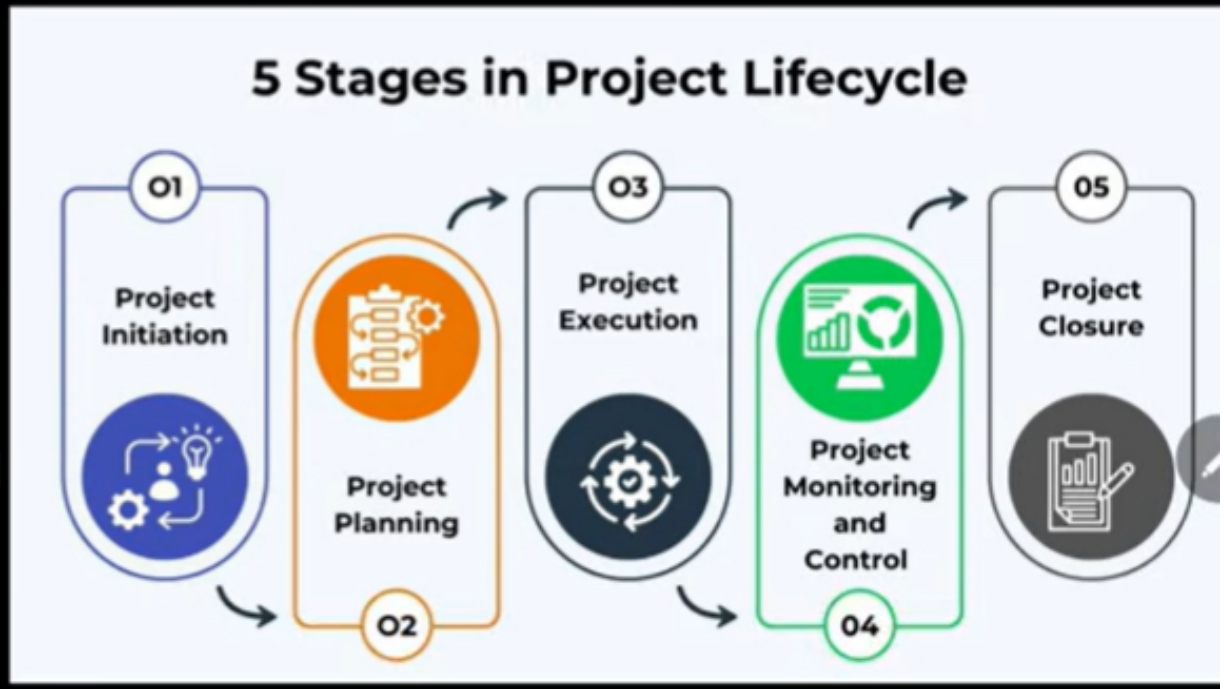
Project Lifecycle = different stages of completing a project.

A project has **5 main stages**.

1. Project Initiation (Beginning Stage)

- The idea of the project is created
- Purpose and goals are decided
- Feasibility (possibility) is checked
- Project is officially approved

👉 **Simple words:** Decide *what* to do and *why* it should be done.



ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

2. Project Planning (Preparation Stage)

- Detailed plans are made
- Time schedule is prepared
- Budget is fixed
- Resources (men, money, machines) are arranged
- Risks are identified

👉 **Simple words:** Decide *how* to do the project.

3.Project Execution (Work Stage)

- Actual work on the project starts
- Tasks are performed
- Team members work according to the plan
- Quality and progress are maintained

👉 **Simple words:** Do the real work of the project.

4. Project Monitoring and Control (Checking Stage)

- Progress of the project is checked
- Compare actual work with the plan
- Correct mistakes
- Manage delays, problems, and risks

👉 **Simple words:** Check the work and fix issues.

ED(BOE084)

5. Project Closure (Ending Stage)

- Project work is completed
- Final report is prepared
- Resources are released
- Client approval is taken
- Team is appreciated or rewarded

👉 **Simple words:** Finish the project and close it.

Summary :

1. **Initiation** – Decide the idea and approve the project.
2. **Planning** – Prepare the plan, budget, and schedule.
3. **Execution** – Perform the actual work.
4. **Monitoring** – Check progress and control problems.
5. **Closure** – Complete and close the project.

ED(BOE084)

🔷 Assessment of Viability

Viability means whether a project is **possible**, **practical**, and **profitable**.

👉 **In simple words:**

Assessment of Viability = checking if the project can really work and give profit.

Before starting a business, an entrepreneur must check if the project is:

- workable
- affordable
- useful
- Profitable

🔷 Types of Viability

Assessment of viability includes four main checks:

1. Technical Viability
2. Financial Viability
3. Market Viability
4. Economic/Social Viability

ED(BOE084)

EduShine CLASSES
By:- ARMAN ALI

1. Technical Viability

✔ **Checks:**

- Can the project be made with available technology?
- Is the machinery available?
- Are raw materials easy to get?
- Is the production process simple?

👉 **Simple words:**

Can we make the product with available machines and skills?

2. Financial Viability

✔ **Checks:**

- How much money is needed?
- Can we arrange finance (loan, savings)?
- Is the project profitable?
- Can the business repay the loan?

👉 **Simple words: Do we have enough money? Will we earn profit?**

ED(BOE084)

EduShine CLASSES By- ARMAN ALI

3. Market Viability

✔ **Checks:**

- Is there demand for the product?
- Who are the customers?
- Who are the competitors?

What is the price consumers are ready to pay?

👉 **Simple words:**

Will people buy the product?

4. Economic / Social Viability

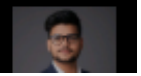
✔ **Checks:**

- Will the project create jobs?
- Will it help local development?
- Will it increase income in the region?
- Does it benefit society?

👉 **Simple words: Is the project good for society and economy?**

🔷 Why Assessment of Viability is Important

- ✓ Avoids loss and failure
- ✓ Helps choose the best project
- ✓ Saves time and money
- ✓ Ensures long-term success
- ✓ Helps get bank loans



ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

🔷 Project Formulation

Project Formulation means **preparing all details about the project** before starting it.
It is the process of collecting, studying, and analyzing information needed to make the project successful.

👉 **Simple words:**
Project Formulation = planning the project in detail before starting it.

❖ Stages of Project Formulation : (V.VIMP)

These are the **main steps** involved in project formulation:

1. Feasibility Analysis

Check whether the project idea is possible or not.
Includes:

- Technical feasibility
- Financial feasibility
- Market feasibility

👉 **Simple words:** Can this project work successfully?



ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

2. Techno–Economic Analysis

Study both **technical** and **economic** aspects:

Technical:

- machinery
- raw materials
- production process

Economic:

- cost
- profit
- demand

👉 **Simple words:** Is the technology suitable and is it economically profitable?

3. Project Design & Network Analysis

Prepare the plan for:

- layout of factory
- design of product
- production schedule
- sequence of activities

Network tools like **PERT/CPM** may be used.

👉 **Simple words:** How will the project work step-by-step?

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

4. Input Analysis

Check availability of required inputs:

- raw materials
- power
- water
- labour
- transport machines

👉 **Simple words:** Do we have everything needed to run the project?

5. Financial Analysis

Study:

- total cost of project
- working capital
- loans required
- expected profit
- cash flow
- break-even point

👉 **Simple words:** How much money is needed and will it give profit?

6. Social Cost–Benefit Analysis

Check the benefit of the project to society:

- job creation
- development of rural areas
- environmental impact
- increase in income

👉 **Simple words:** Is the project good for society?

ED(BOE084)

7. Pre-Investment Analysis

Final evaluation before investing.

Includes:

- risk analysis
- profitability
- future growth
- final decision-making

👉 **Simple words:** Final check before investing money.

ED(BOE084)

7. Pre-Investment Analysis

Final evaluation before investing.

Includes:

- risk analysis
- profitability
- future growth
- final decision-making

👉 **Simple words:** Final check before investing money.

ED(BOE084)

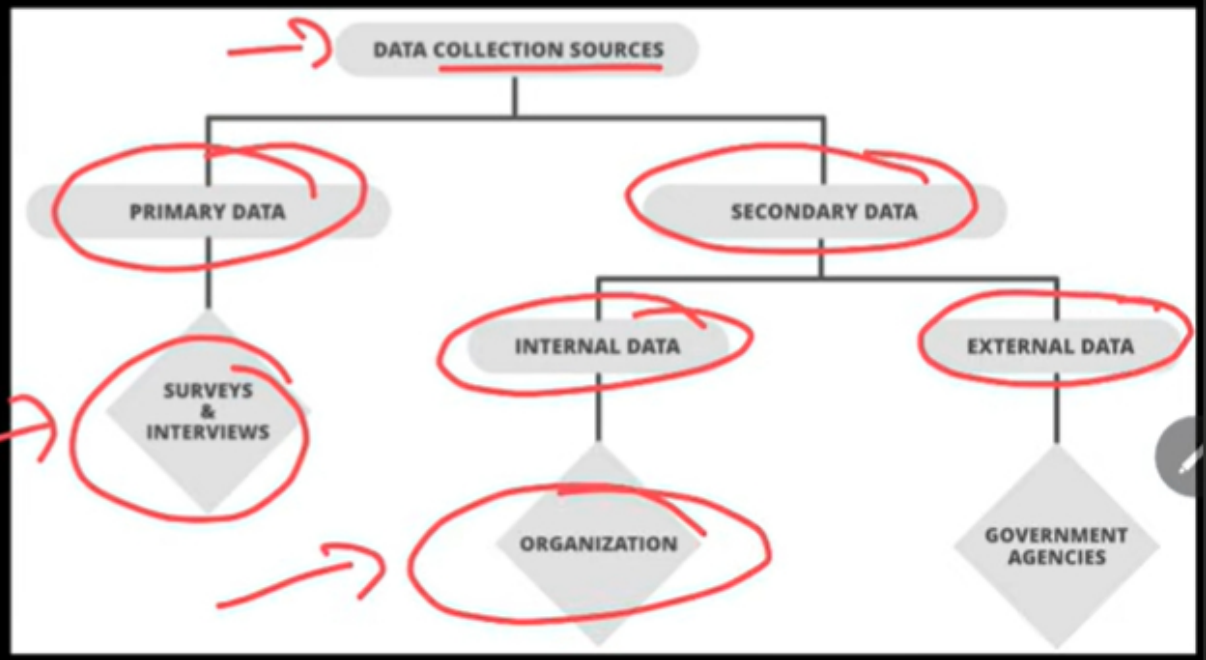
EduShine CLASSES By:- ARMAN ALI

Methods of Collection of Information

To prepare a project, we need information about:

- market
- customers
- resources
- costs
- competitors

This information can be collected through **two main methods**:



ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

1. Primary Data Collection

Primary data = **fresh, original information** collected directly from people.

👉 **Simple words:**

Information collected for the first time.

✔ Methods of Primary Data Collection

a) Surveys

- Asking questions to customers
- Using paper forms or online forms
- Helps understand customer needs and preferences

b) Interviews

- One-to-one conversation
- Face-to-face or telephonic
- Helps get detailed information

c) Observation

Watching customer behavior

Example: Seeing what people buy more in a shop

d) Experiments

Testing a product with a small group before launching it

📝 Examples of Primary Data

- ✓ Interviewing shopkeepers
- ✓ Conducting a market survey
- ✓ Asking customers through a questionnaire



ED(BOE084)

EduShine CLASSES By- ARMAN ALI

2. Secondary Data Collection

Secondary data = **information already collected by others**.

👉 **Simple words:**

Information that already exists and we use it again.

✔ Types of Secondary Data

a) Internal Secondary Data

Data available **within the organization**, such as:

- sales records
- production reports
- past project reports

company databases

👉 **Example:** A company checks last year's sales to understand demand.

b) External Secondary Data

Data collected from **outside sources**, such as:

- government publications
- books and journals
- websites
- newspapers
- research reports
- industry statistics

👉 Example: Using data from RBI, MSME reports, census data.

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

🔷 What is a Project Report?

A **Project Report** is a **written document** that contains all important details of a project such as:

- what the project is
- how it will be done
- how much it will cost
- who will do it
- how much profit it will give

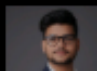
👉 Simple words:

A project report is a complete plan of a project written on paper.

It helps banks, investors, and government understand the project.

🔷 Why Project Report is Important?

✓ Helps get loans from banks
✓ Helps understand cost, profit, and risks
✓ Helps plan activities correctly
✓ Reduces chances of failure



How to Prepare a Good Project Report? (V.IMP)

Qualities of a Good Project Report :

A good project report should be:

1. Clear and simple
2. Well organized
3. Accurate in data
4. Complete with all sections
5. Realistic and practical
6. Free from errors
7. Useful for decision-making

🔷 What is Demand Analysis?

Demand Analysis means **studying how much quantity of a product people want to buy** at a certain price and time.

👉 Simple words:

Demand Analysis = finding out if customers want your product, how much they want, and at what price.

It helps entrepreneurs decide:

- what to produce
- how much to produce
- what price to fix

🔷 Why Demand Analysis is Important?

✓ Helps know if the product will sell
✓ Helps avoid losses
✓ Helps decide production level
✓ Helps plan pricing

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

🔷 Methods of Demand Analysis (V.IMP)

Demand analysis can be done using **two main methods**:

1. Primary Methods (Fresh Data Collection)

This includes collecting **new data directly** from customers.

✔ **a) Surveys**

Ask questions to customers using forms

Helps know buying habits, preferences

✔ **b) Interviews**

Talk directly to customers or shopkeepers

Helps get detailed information

✔ **c) Observation**

Observe what customers buy in shops

Helps know popular products

✔ **d) Market Experiments**

Launch product in small area first

Check response

If demand is good → full launch

👉 **Simple words:**

Collecting new information from real people.

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

2. Secondary Methods (Existing Data)

This includes using **already available information**.

✔ a) Government Reports

Census data

MSME reports

Economic surveys

Tells about population, income, market size.

✔ b) Industry Reports

Data from industry associations

Chamber of commerce reports

✔ c) Company Records

Past sales data

Customer complaints

Previous demand patterns

✔ d) Websites, Journals & Newspapers

Online market studies

Business articles

Statistical data

👉 **Simple words:**

Using old data collected by others.

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

❖ Material Balance Method

Material Balance Method is used to **estimate how much raw material is needed** and how much **finished product will be produced**.

👉 **Simple words:**

Material In = Material Out

(Input = Output)

This method makes sure there is **no shortage or wastage** of raw materials.

◆ Example (Very Simple)

To produce **1 kg of sugar**, a factory needs **10 kg of sugarcane**.

If you need **500 kg sugar**,

you must buy **500 × 10 = 5000 kg sugarcane**.

This is **material balance**.

◆ Steps

1. Identify all inputs (raw materials).
2. Identify all outputs (products & waste).
3. Check if **total input = total output + waste**.
4. Calculate required raw materials.
5. Adjust for losses and inefficiency.

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

❖ Output Method

Output Method is used to **measure production capacity** and **calculate the total output** of a project or industry.

👉 Simple words:

Output Method = how much product a factory can produce.

◆ Example (Very Simple)

A machine produces **100 units per hour**.
If the factory works **8 hours a day**,
Total output = **100 × 8 = 800 units per day.**
This is **output method**.

◆ Steps :

1. Identify production capacity of machines.
2. Find working hours per day.
3. Multiply capacity × working hours.
4. Adjust for maintenance time and breakdowns.

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

❖ Difference between Material balance and Output method :

Material Balance	Output Method
Calculates raw material needed	Calculates total production output
Focus on INPUT	Focus on OUTPUT
Helps reduce waste	Helps plan production capacity
Used in manufacturing planning	Used in sales & profit planning

❖ What is Cost-Benefit Analysis?

Cost-Benefit Analysis (CBA) is a method used to **compare the total costs and total benefits** of a project to decide whether it is **profitable or not**.

👉 **Simple words:**

CBA = Compare money spent vs. money gained.

If benefit > cost → project is good.

It helps entrepreneurs choose the **best project**.

ED(BOE084)

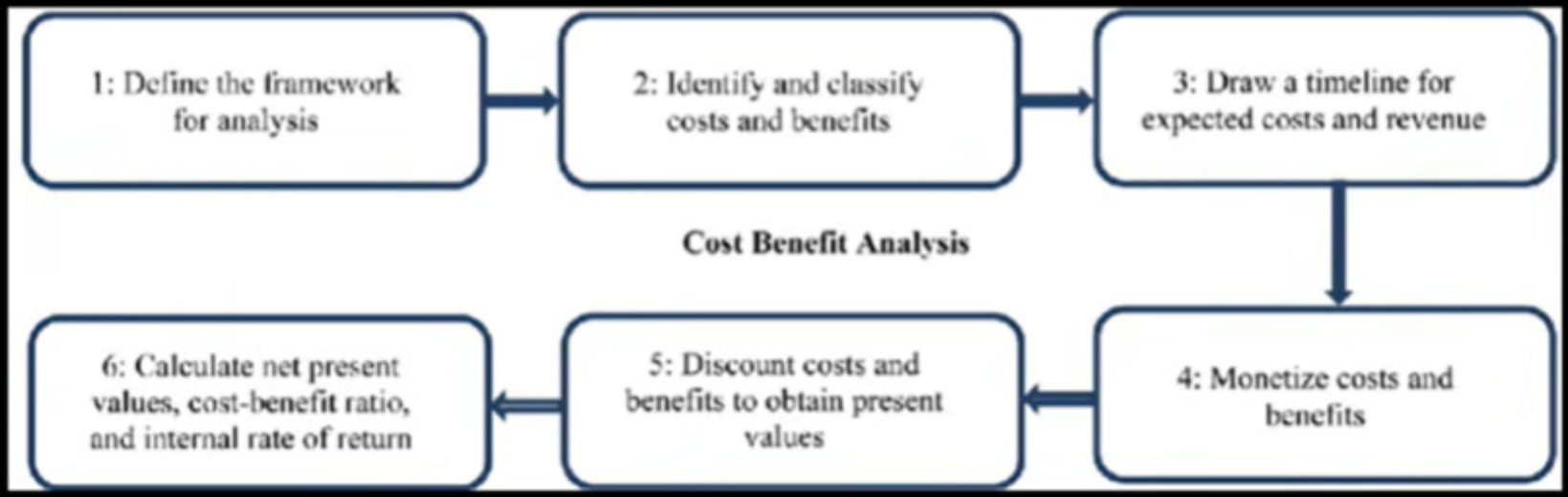
EduShine CLASSES
By- ARMAN ALI

Why Cost-Benefit Analysis is Important?

- ✓ Helps decide if the project is worth doing
- ✓ Helps avoid loss
- ✓ Helps compare different projects
- ✓ Helps in taking investment decisions

Stages of Cost-Benefit Analysis : (V.VIMP)

Here are the stages shown in the diagram, explained simply.



ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

1. Define the Framework for Analysis

Decide:

- purpose of the project
- time period (1 year, 5 years, etc.)
- who is affected (customers, society, business)

👉 **Simple words:**

Decide what you are analyzing and for whom.

2. Identify and Classify Costs and Benefits

List all **costs**:

- raw materials
- labour
- machinery
- electricity
- rent
- maintenance

List all **benefits**:

- sales revenue
- profit
- job creation
- social benefits

👉 **Simple words:**

Write down all costs and all benefits.

3. Draw a Timeline for Expected Costs and Revenues

Show **when** costs and benefits will happen:

Example:

- Year 1 → cost of machinery
- Year 2 → start production
- Year 3 → profit increases

👉 **Simple words:**

Decide in which year money will be spent or earned.



YouTube Search

ED(BOE084)

EduShi CLAS By:-ARMA

4. Monetize Costs and Benefits

Convert everything into **money value**.

Example:

- Job creation → savings
- Pollution control → cost
- Improved health → benefit

👉 **Simple words:**

Put money value on every cost and every benefit.

5. Discount Costs and Benefits (Present Value)

Future money is worth less than today's money.

So we **discount** future income to calculate its **present value**.

👉 **Simple words:**

Convert future money into today's value using discount rate.

(Used in DCF, IRR, NPV)

CLASSES
By:- ARMAN ALI

6. Calculate NPV, IRR, and Cost-Benefit Ratio

✔ **NPV (Net Present Value)**

NPV = Present Value of Benefits – Present Value of Costs

If **NPV > 0 → project is good**

✔ **IRR (Internal Rate of Return)**

IRR = discount rate at which NPV becomes zero

Higher IRR → better project

✔ **Cost-Benefit Ratio**

CB Ratio = Total Benefits / Total Costs

If **CBR > 1 → project is beneficial**

👉 **Simple words:**

Calculate final numbers and decide if project is profitable.

🔷 **Final Decision**

If:

- Benefits > Costs
- NPV positive
- IRR high
- CB Ratio > 1

👉 Project is good and should be accepted.

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

🔷 Discounted Cash Flow (DCF) –

Discounted Cash Flow (DCF) is a method used to **find the present value of future cash flows** (money) by applying a **discount rate**.

👉 Simple words:

DCF = Today's value of future money.

Because money received in the future is **less valuable** than money received today.

Example:

₹100 today ≠ ₹100 next year

(Next year's ₹100 is worth less today)

So, we **discount** future money.

🔷 Basic Components of DCF

There are **three basic components**:

1. Cash inflows
2. Cash outflows
3. Discount rate



ED(BOE084)

Simple Example

Investment = ₹10,000

Future cash inflow after 1 year = ₹12,000

Discount rate = 10%

$$PV = \frac{12000}{1.10} = 10909$$

$$NPV = 10909 - 10000 = +909$$

👉 **NPV is positive**, so the project is profitable.

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

1. Cash Inflows (Future Earnings)

These are the amounts the project will **earn** in the future:

Examples:

- Sales revenue
- Profit
- Cost savings
- Income from assets

👉 **Simple words:**

Money coming in future.

2. Cash Outflows (Future Costs)

These are the amounts the project will **spend** in the future:

Examples:

- Raw materials
- Labour cost
- Maintenance
- Operating expenses

👉 **Simple words:**

Money going out in future.

ED(BOE084)

3. Discount Rate

The **interest rate** used to convert future money into present value.

It represents:

- risk
- inflation
- cost of capital
- time value of money

👉 **Simple words:**

Rate used to reduce future money to today's value.

Higher discount rate → lower present value

Lower discount rate → higher present value

❖ **DCF Formula :**

$$DCF = \frac{Cash\ Flow}{(1+r)^n}$$

Where r – discount rate, n – year

ED(BOE084)

EduShine CLASSES By:- ARMAN ALI

❖ Net Present Value (NPV)

NPV is the difference between the **present value of future cash inflows** and the **present value of cash outflows**.

👉 Simple words:

NPV = Today's value of future income – Today's value of costs

It tells whether a project will **give profit or loss**.

🔹 NPV Decision Rule

If **NPV > 0** → Project is **profitable**, accept it

If **NPV < 0** → Project will **lose money**, reject it

If **NPV = 0** → No profit, no loss

🔹 NPV Formula (Easy Form)

$$NPV = \sum \frac{Cash\ Inflows}{(1+r)^n} - Initial\ Investment$$

Where:

- r = discount rate
- n = year number

1:00:33

Simple Example

Investment = ₹10,000

Future cash inflow after 1 year = ₹12,000

Discount rate = 10%

$$PV = \frac{12000}{1.10} = 10909$$

$$NPV = 10909 - 10000 = +909$$

👉 **NPV is positive**, so the project is profitable.

ED(BOE084)

❖ Internal Rate of Return (IRR)

IRR is the discount rate at which the NPV of a project becomes zero.

👉 Simple words:

IRR = the rate of return at which the project breaks even.

(Benefits = Costs)

It tells how fast your investment grows.

◆ IRR Decision Rule

If **IRR > required return / interest rate** → Accept project

If **IRR < required return** → Reject project

◆ Simple Understanding

IRR is like the **interest rate** the project gives you.

Example:

If a project has **IRR = 15%**, it means the project gives a **15% return** every year.

If bank gives 8% interest → Project is better.